

Hindustan Zinc Ltd — Concall Tracker

Ticker HINDZINC (BSE 500188) | Report date 04 Jul 2026 | Latest call read: Q4 & Full-Year FY26 (~Apr 2026)

1. Snapshot

What the business does: Hindustan Zinc (a Vedanta group company; the Government of India still owns ~28%) is the world's largest integrated producer of zinc and India's only integrated silver producer. It digs zinc-and-lead ore out of its own mines in Rajasthan, then smelts and refines it into zinc metal, lead metal and — as a valuable by-product of the lead process — silver. In plain terms: it sells three metals, and thanks to a silver-price boom, silver has quietly become one of its biggest profit engines.

Number (FY26, year to Mar-2026)	Value	Plain-English read
Revenue	₹40,844 cr	Total sales for the year — up ~20% on FY25's ₹34,083 cr; a fresh record.
Operating profit (EBITDA)	₹22,080 cr	Profit from core operations before interest, tax and depreciation — up ~27%.
Operating margin (OPM)	54%	Of every ₹100 of sales, ₹54 is operating profit — world-class for a miner.
Net profit (PAT)	₹13,832 cr	The bottom-line profit after everything — up ~34%; the best year ever.
Return on capital (ROCE)	70%	For every ₹100 of capital in the business it earns ₹70 a year — exceptional.
Borrowings	₹8,728 cr	Modest debt against ₹22,000 cr of yearly operating profit; ended FY26 broadly net-cash.

Source: Screener snapshot CSVs (profit-and-loss, ratios, balance-sheet) already carrying FY26 figures.

2. Concall coverage

Read chronologically from the on-disk transcripts (oldest → newest). This spans roughly the last 3+ years — a full commodity down-cycle (FY24) and the current up-cycle (FY25–FY26).

Quarter / period	Call date	Read?
Q4 & FY24	19 Apr 2024	Yes (transcript on disk)
Q4 & FY25	25 Apr 2025	Yes (transcript on disk)
Q2 FY26	17 Oct 2025	Yes (transcript on disk)
Q3 & 9M FY26	19 Jan 2026	Yes (transcript on disk — latest on disk)
Q4 & FY26	~Apr 2026	From the web — the transcript download had failed, so this newest call was reconstructed from results releases and earnings-call coverage (see sources).

Also on disk and used for the multi-year narrative: Jan/Jul/Oct 2022–2023 and Jul 2025 transcripts. **Coverage note:** the single most recent (Q4 FY26) call is web-sourced because its transcript PDF did not download; every other call is read directly from the transcript.

2b. Latest call highlights — Q4 & Full-Year FY26 (~Apr 2026)

- **Record everything.** Q4 revenue **₹13,544 cr, up 49%** year-on-year; Q4 operating profit (EBITDA) **~₹7,747 cr, up 61%** at a **57% margin**; Q4 net profit **₹5,033 cr, up 68%**. *Plain read: the best quarter in the company's history, driven by high metal prices and record output.*
- **Silver is now the swing factor.** Full-year silver revenue jumped to **~₹9,841 cr (+61%)** and silver contributed **~45% of profit**, with the silver price hitting record highs (above **\$93/oz**). *Plain read: nearly half the profit now rides on silver, not zinc.*
- **Cost leadership pushed further.** Zinc cost of production fell to **\$903/tonne in Q4** and **\$959/tonne for FY26** — the lowest since the underground-mining switch and well below the ~\$1,025–1,050 originally guided. *Plain read: they make each tonne cheaper than almost any rival, so high prices drop straight to profit.*
- **Cash returned.** Board declared a first interim FY27 dividend of **₹11/share (~₹4,648 cr)**. *Plain read: shareholders keep getting large cash payouts.*
- **Guidance & tone.** FY27 guidance: mined metal **1,150±10 kt**, refined metal **1,100±10 kt**, silver **680±10 t**, zinc cost **\$975–1,000/t**, growth capex **\$500–600m**. Tone: confident and expansion-focused; management said it is "re-looking" at the long-shelved demerger, with groundwork possible in FY27 once parent Vedanta finishes its own split.

Sources: sahi.com, univest.in, udaipurtimes.com, themachinemaker.com, gurufocus.com, multibagg.ai, outlookbusiness.com (Apr 2026 Q4/FY26 results & call coverage).

2c. Business mix & capacity

Domestic vs export: An exact revenue split is not broken out on these calls, but the business is **overwhelmingly domestic** — management cites ~77% share of India's primary zinc market and 90%+ of the primary lead market. *Read: most sales are inside India; exports are the smaller slice.*

Capacity & utilization: Refined-metal capacity is ~1.1 Mtpa and the plants ran essentially full in FY26; debottlenecking added ~46 kt and a new 160 ktpa Debari roaster is live. The metal-recovery "fumer" plant ran only at **~60% utilization** (a persistent soft spot). *Read: the existing base is running near flat-out, which is exactly why the "2x" expansion below matters.*

Expansion target: doubling toward ~2 Mtpa of metal and lifting silver from ~700 t to **1,500 t/yr** — via a 250 ktpa integrated smelter (by ~Q2 FY29), a 10 Mtpa tailings-reprocessing plant (by ~Q4 FY28) and a fertiliser plant (by ~Q2 FY27).

3. Earning-trigger thesis ★

The headline driver is a **silver-led profit surge sitting on top of best-in-class cost leadership, with a "2x" volume expansion behind it**. Because silver comes out almost free as a by-product of lead, a rising silver price flows to the bottom line with very little added cost — and silver has gone from a footnote to ~45% of profit. At the same time management has driven zinc cost to multi-year lows, so the current high-price environment converts into record margins. The longer-term leg is the plan to roughly double metal volumes and more than double silver output (700 → 1,500 tonnes) by ~FY28–FY29.

Trigger	What management said	Evidence so far	Horizon	Strength
Silver profit engine	Silver would ride a structural up-cycle and become a huge share of profit	Silver revenue +61% to ~₹9,841 cr; ~45% of profit; price at record highs	Now — playing out	Strong — clearly delivering, though price-dependent
Cost leadership	Zinc cost sustainable at ~\$950–1,000/t, below guidance	FY26 \$959/t, Q4 \$903/t — lowest ever; beat guidance repeatedly	Now — delivered	Strong — a genuine, repeated beat
2x volume + silver to 1,500 t	Double metal to ~2 Mtpa; silver 700 → 1,500 t by FY28–29	EPC partners locked, roaster live, debottlenecking done; big projects still years out	FY28–FY29	Moderate — credible but unbuilt; timelines already long-dated

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 (down-cycle)	Cut costs and lift output despite weak zinc prices	Highest-ever metal & silver output, sharp cost reduction; became world's 3rd-largest silver producer	Delivered
FY25 → FY26 cost	Zinc cost ~\$1,025–1,050/t, later revised down toward ~\$1,000	FY26 came in at \$959/t — beat even the lowered target	Delivered (beat)
FY26 silver volume	Guided 700–710 t, later cut to 680±10 t	~627 t produced — short of the (already-lowered) guidance	Missed
Fumer / metal-recovery plant	Would ramp up extra silver/lead recovery from residue	Still only ~60% utilization years after commissioning; "trouble" cited	Partly
Demerger / restructuring	Split into separate businesses (first floated 2023)	Blocked by the government; now only "being re-looked at" for FY27	Dropped / stalled
Net-cash balance sheet	Reduce debt, fund growth from cash flow	Ended FY26 broadly net-cash while paying large dividends	Delivered

Narrative drift: The core story — cost leadership plus a silver-led profit lift — has been remarkably *steady and, on cost, over-delivered*. The blemishes are specific: the silver *volume* ramp (the very metric tied to the headline story) fell short of guidance, the fumer plant has under-run for years, and the demerger keeps being floated and shelved. So the promise-vs-delivery record is strong on profit and cost, but mixed on the operational silver-volume and structural (demerger) promises.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: silver has become ~45% of profit on record prices, sitting on a cost base management keeps pushing to multi-year lows, with a real (if long-dated) 2x volume and silver-doubling programme behind it. The evidence is in the numbers — record revenue, EBITDA and PAT, and margins above 54%. The main caveat is that the silver leg is price-dependent, but as a trigger it is unquestionably real and playing out. (*Unchanged from prior: YES.*)

Management consistent? → **MAYBE**

Management has over-delivered on the things it controls best — cost, production records, cash generation and dividends — and the strategic story hasn't drifted. But three promises undercut a clean "Yes": the silver *volume* guidance was missed (700–710 → 680 → ~627 t), the fumer/recovery plant has run at ~60% for years, and the demerger has been floated and stalled repeatedly since 2023 and is only now "being re-looked at." A strong but genuinely mixed record. (*Unchanged from prior: MAYBE — held because the silver-volume miss and stalled demerger persist even in a record year.*)

Prepared from on-disk Screener transcripts (FY24–Q3 FY26) plus web coverage of the Q4/FY26 results and earnings call (~Apr 2026). Financial figures cross-checked against Screener snapshot CSVs. Not investment advice.